

Financial Analysis of Blue Stocks

Guide and Analysis Framework

1. What Are Stocks?

Blue stocks are generally understood as established and well-known listed-company shares. Investors commonly review their financial strength, profitability, cash generation, shareholder returns and business risks before making a decision.

2. Company Overview Checklist

Area	What to check
Business	Industry, products or services, and key markets
Listing	Stock exchange and ticker symbol
Scale	Revenue trend, market position and financial size
Track record	Profitability, cash generation and shareholder-return history

3. Profit and Loss Analysis

The profit and loss statement shows whether revenue and profit are growing over time. Compare at least two financial years.

Particular	Earlier Year	Latest Year
Revenue from operations	Enter reported figure	Enter reported figure
EBIT	Enter reported figure	Enter reported figure
Profit before tax	Enter reported figure	Enter reported figure
Profit after tax	Enter reported figure	Enter reported figure
EPS	Enter reported figure	Enter reported figure

$$\text{Revenue Growth} = (\text{Latest Revenue} - \text{Earlier Revenue}) / \text{Earlier Revenue} \times 100$$

$$\text{Profit Growth} = (\text{Latest Profit After Tax} - \text{Earlier Profit After Tax}) / \text{Earlier Profit After Tax} \times 100$$

Interpretation: profit growing faster than revenue can indicate improving profitability, but the reason for the change should also be checked.

4. Balance Sheet and Liquidity

The balance sheet helps assess financial resources and short-term payment capacity.

Particular	What it shows
Total Assets	Resources owned or controlled by the company
Total Equity	Owners funds in the business
Current Assets	Assets expected to be used or converted within a year
Current Liabilities	Obligations due within a year

$$\text{Current Ratio} = \text{Current Assets} / \text{Current Liabilities}$$

Interpretation: a ratio above 1 means current assets exceed current liabilities. It should be compared with the company's own history and industry norms.

5. Cash Flow Analysis

Cash flow shows the cash generated and used by the business. Operating cash flow is especially important because accounting profit does not automatically equal cash generation.

Cash-flow area	Question to ask
Operating activities	Is the core business generating cash?
Investing activities	Is cash being used for assets, investments or expansion?
Financing activities	How is the company using debt, equity, dividends or buybacks?

$$\text{Operating Cash Flow Growth} = (\text{Latest Operating Cash Flow} - \text{Earlier Operating Cash Flow}) / \text{Earlier Operating Cash Flow} \times 100$$

6. EPS and Key Ratios

Measure	Formula	Purpose
EPS	Profit attributable to equity shareholders / weighted average shares	Earnings attributable per share
Net Profit Margin	Profit after tax / revenue x 100	Profit from each unit of revenue
Current Ratio	Current assets / current liabilities	Short-term liquidity
P/E Ratio	Market price per share / EPS	Valuation relative to earnings
P/B Ratio	Market price per share / book value per share	Valuation relative to book value

7. Dividend Analysis

A dividend is part of profits distributed to shareholders. Review the dividend per share, consistency of payments and whether the business generates enough cash to support distributions.

$$\text{Dividend Yield} = \text{Annual Dividend per Share} / \text{Market Price per Share} \times 100$$

8. Strengths to Look For

- Consistent revenue and profit growth
- Healthy margins and earnings per share
- Sustainable operating cash flow
- Comfortable liquidity and a sound balance sheet
- Clear shareholder-return record

9. Risks to Monitor

- Industry demand and economic slowdowns

- Competition and changes in technology
- Rising employee, input or financing costs
- Currency movements where the company earns internationally
- Valuation risk: a strong business can still be expensive at a high share price

10. Conclusion

A sound blue-stock analysis combines profitability, balance-sheet strength, cash flow, EPS, valuation and dividends. No single metric is enough. The most useful conclusion comes from comparing figures across years, understanding the company's industry and considering risks alongside strengths.